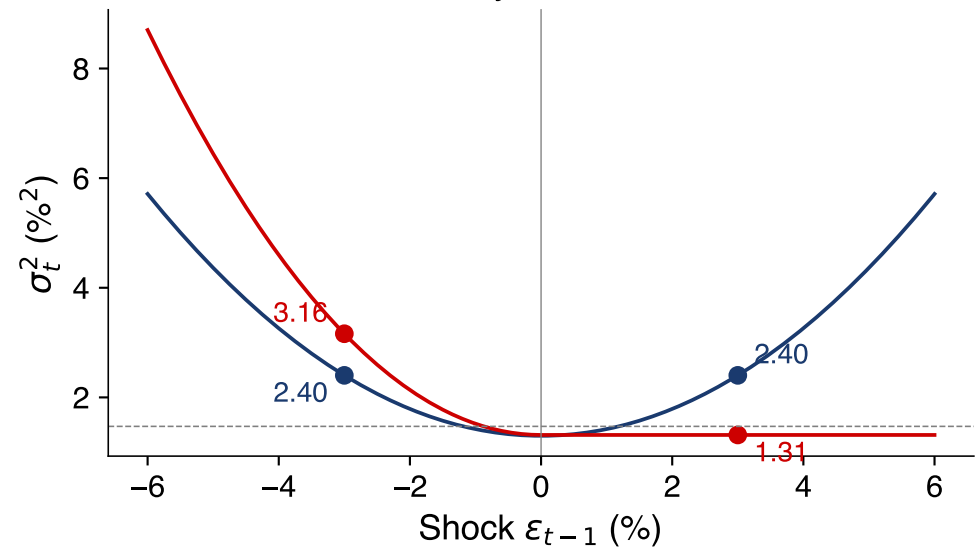
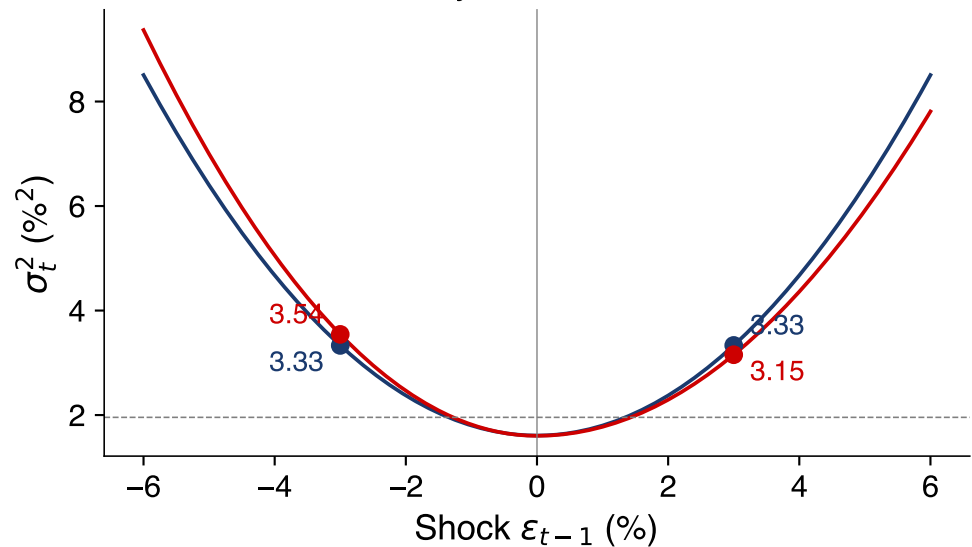


S&P 500: next-day variance after a shock



BET: next-day variance after a shock



— GARCH(1,1)-t
 — GJR-GARCH(1,1)-t
 - - - Starting variance $\sigma_{t-1}^2 = \text{sample variance}$